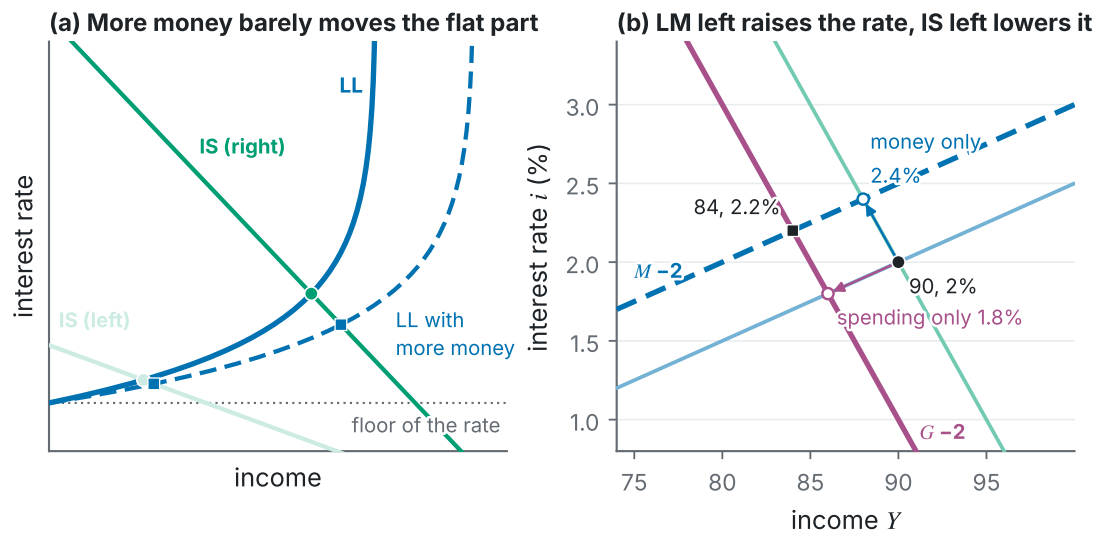
(a) More money barely moves the flat part
LL
IS (right)
IS (left)
LL with
more money
floor of the rate
interest rate
income
(b) LM left raises the rate, IS left lowers it
money only
2.4%
84, 2.2%
M −2
90, 2%
spending only 1.8%
G −2
interest rate i (%)
3.0
2.5
2.0
1.5
1.0
75
80
85
90
95
income Y